

Amendment No. 2 to SB1921

Watson
Signature of Sponsor

AMEND Senate Bill No. 1921*

House Bill No. 2358

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 71, Chapter 5, Part 12, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Child care and development fund" or "CCDF" means the federal child care and development fund established pursuant to 45 CFR 98;

(2) "Department" means the department of human services; and

(3) "Smart steps program" means the state child care assistance program administered by the department.

(b)

(1) The department shall transfer on October 1, 2026, from the federal temporary assistance for needy families (TANF) block grant to the child care and development fund an amount sufficient, subject to subdivision (b)(2)(D), to:

(A) Eliminate the smart steps program waitlist during the federal fiscal year beginning October 1, 2026 and ending September 30, 2027, by providing child care assistance through the smart steps program for individuals who:

(i) Meet the eligibility requirements of the smart steps program;

(ii) Elect to participate in the program; and

(iii) Are unable to be served due to insufficient available funding; and

(B) Support the smart steps program consistent with the purposes of this section.

(2) The transfer authorized by this subsection (b):

(A) Must not exceed the maximum amount permitted under federal law, including 42 U.S.C. § 604(d), as amended;

(B) Must not exceed twenty-five million dollars (\$25,000,000); provided, that a transfer authorized pursuant to this subdivision (b)(2)(B) must not exceed the maximum percentage of funds permitted for transfer under federal law, including 42 U.S.C. § 604(d), as amended;

(C) Must supplement and not supplant the level of CCDF funds appropriated or expended for the smart steps program during the immediately preceding fiscal year; and

(D) Is limited to federal TANF block grant funds received by the state for the applicable fiscal year and available for transfer pursuant to 42 U.S.C. § 604(d), as amended.

(3) This section does not create an individual entitlement to services or obligate the general fund of the state.

(c)

(1) The department shall administer the remaining temporary assistance for needy families block grant funds, after any transfer authorized by this section, in compliance with the administrative cost limitations applicable under federal law, including the fifteen-percent limitation on administrative expenditures established in 42 U.S.C. § 604(b).

(2) It is the legislative intent that the department utilize up to three million seven hundred fifty thousand dollars (\$3,750,000) of existing recurring

appropriations from the state general fund that are budgeted for purposes related to the smart steps program to support administrative expenditures necessary to implement this section; provided, that this subdivision (c)(2) does not authorize an increase in appropriations from the state general fund, and the department shall implement this section in a manner that does not require an appropriation from the state general fund to support administrative expenditures of the temporary assistance for needy families program.

(d) In making budget adjustments or programmatic changes within the temporary assistance for needy families block grant to prioritize child care assistance under this section, the department shall ensure that funding intended for the Tennessee opportunity pilot grant program is not reduced or otherwise adversely impacted.

(e) Funds transferred pursuant to this section must comply with all applicable federal laws and regulations governing the temporary assistance for needy families program and the child care and development fund.

(f) Notwithstanding another law to the contrary, the department shall utilize an amount equivalent to the amount transferred to the CCDF from the unobligated temporary assistance for needy families block grant funds, including amounts maintained as a reserve pursuant to § 71-5-1204, to preserve funding for other programs and services supported by the temporary assistance for needy families block grant while implementing this section.

(g) The transfer under this section to the CCDF must be made prior to September 30, 2027.

(h) The department shall annually publish on the department's website a report on the temporary assistance for needy families program's and the child care and development fund's balances and expenditures. The report must include:

(1) Expenditures in the prior fiscal year by expense category and funding source;

- (2) Obligated balances by expense category and funding source;
 - (3) Any unobligated balance, including the balance of the TANF rainy-day reserve;
 - (4) The amount of TANF funds transferred pursuant to this section during the prior fiscal year;
 - (5) A detailed accounting of all expenditures counted towards the federal fifteen-percent administrative cap; and
 - (6) The number of children served in the smart steps program during the prior fiscal year, disaggregated by funding source, including TANF funds, CCDF funds, and any other funding source utilized by the department.
- (i) The department is authorized to promulgate rules to effectuate this section.

The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 2. It is the intent of the general assembly that:

(1) If federal appropriations for the child care and development fund increase in a future fiscal year, the department prioritize the use of such additional federal CCDF funds to reduce or offset the transfer of temporary assistance for needy families funds authorized by this act; and

(2) To the extent permitted by federal law and subject to the availability of federal TANF block grant funds, the department restore and maintain the eligible limit, sliding scale fee schedule, co-pay policies, and reimbursement rates for the smart steps program that were in effect on September 30, 2025, as a minimum standard.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.